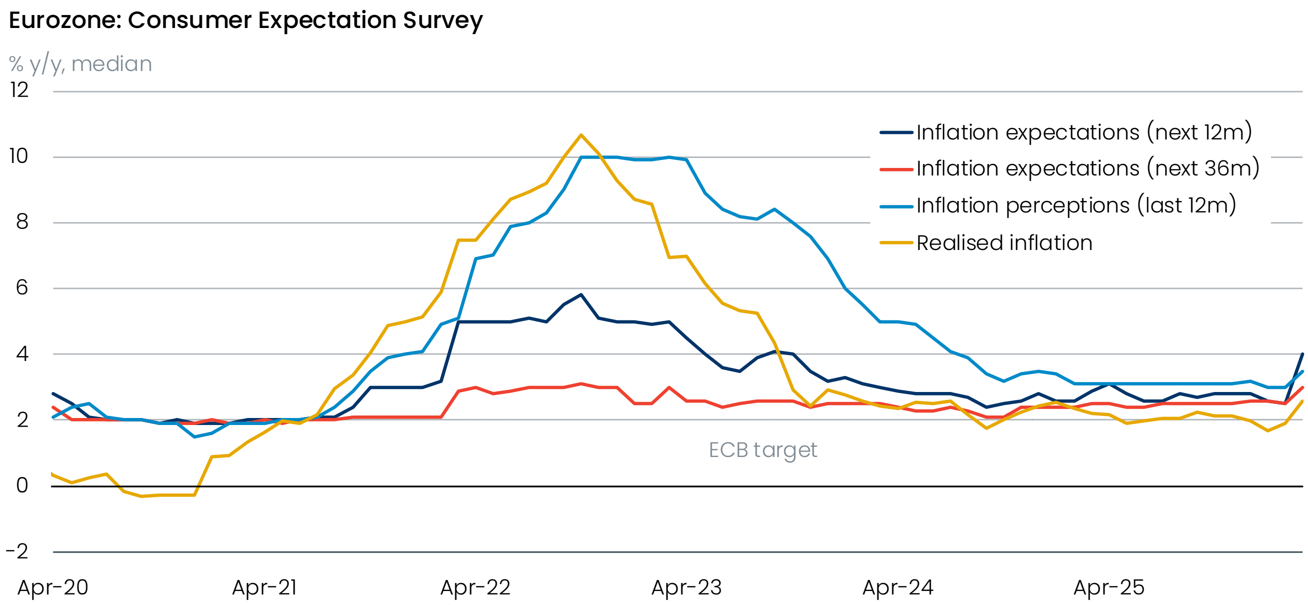
ECB surveys see inflation expectations rising, adding to rate hike odds

- **Inflation expectations surged in March according to the ECB's Consumer Expectations Survey (CES). Sentiment is increasingly gloomy as nominal spending is expected to rise while consumers see income growth as unchanged. The CES print mirrors yesterday's enterprise survey (SAFE) that indicated increasing selling price expectations.**
- **Meanwhile, today's Bank Lending Survey (BLS) showed a sharp tightening in credit standards and a broad-based fall in loan demand in Q1 with further weakness ahead. Banks expect household and firms' loan demand to decrease again in the current quarter, while planning a further tightening in credit standards.**
- **The three ECB surveys paint a gloomy picture, with inflation expectations at risk of de-anchoring. An April hike remains out of the picture but we maintain our call of two 25bps rate hikes in June and July despite the emerging growth-inflation dilemma the Governing Council faces as evidenced by last week's surveys.**

Consumer inflation expectations surged in March, with the 12-month median jumping from 2.5% to 4.0%, while 3-year expectations rose to 3.0%. These were the largest single-month moves since the post-pandemic inflation shock, reflecting both the size of the energy shock and more sensitive consumer expectations. Growth expectations deteriorated and real purchasing power is set to decline as consumers expect nominal spending to rise while income growth expectations remained unchanged. Yesterday's Survey on the Access to Finance of Enterprises (SAFE) told a similar story from the firm side, with selling price and input cost expectations jumping while firms simultaneously reported falling profits and flat turnover.

Chart 1: Inflation expectations rise further as energy price shock bites



Sources: Oxford Economics, Haver Analytics

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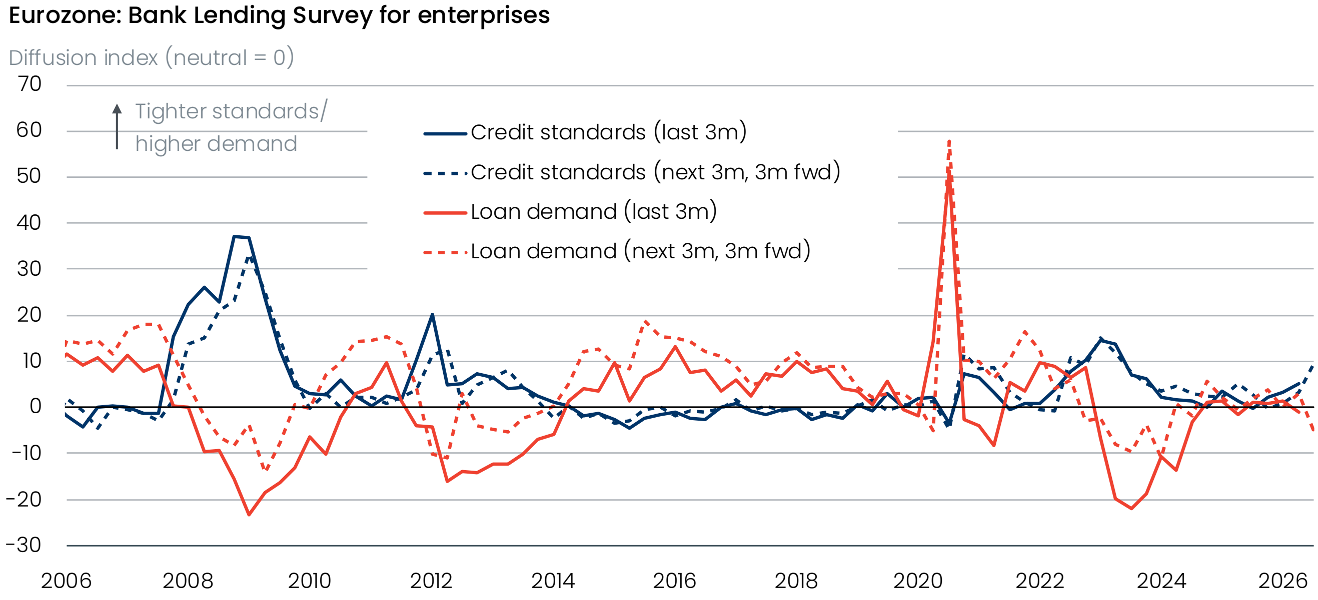
Today, we also received BLS data on financial conditions in the euro area. Credit standards tightened across loan categories in Q1 with the net tightening for corporate loans reaching its highest level since mid-2023. Loans for house purchases were only marginally affected while consumer credit and other lending to households tightened markedly. The primary drivers were deteriorating risk perceptions and lower bank risk tolerance, with geopolitical tensions and energy market developments cited explicitly, including specific exposures to energy-intensive borrowers and counterparties linked to the Middle East conflict.

On the demand side, corporate loan demand fell, with weakness concentrated in fixed investment financing, likely reflecting higher geopolitical uncertainty weighing on capex. Consumer credit demand dropped sharply, as deteriorating consumer confidence and squeezed real incomes drover lower spending on durable goods.

Banks expect the overall picture to worsen. Credit standards will tighten further in Q2 while demand for housing and consumer credit is set to decrease. This underscores our cautious outlook for economic activity going forward. Inflation averaging 3% this year and tighter financial conditions are set to weigh on the Eurozone economy, mainly private consumption and business investment.

Chart 2: Sharpest tightening in credit standards since mid-2023



Sources: Oxford Economics, Haver Analytics

Taken together, the three surveys paint a gloomy picture. The BLS and SAFE both point to a softening economy, while the CES shows spiking short-term inflation expectations. Medium-term expectations are more benign but remain at risk of drifting higher. We read these data as further evidence for ECB rate hikes ahead, despite the growth-inflation dilemma the Governing Council now finds itself in. Tighter financial conditions have already impacted the economy, but more is needed to rein in the inflationary shock. An April hike is off the table, but the ECB will be watching inflation and survey data closely over the coming months. Given our baseline of the Iran conflict dragging on with the associated disruptions to energy flows keeping commodity prices elevated, we continue to expect the ECB to deliver two 25bps hikes in June and July.